

Candidate Pipeline — Executive Summary

2026-04-17 14:38 UTC · 9 candidate(s)

How to read this report. Each candidate gets a full page that walks through the case in plain English. The layout: (1) **One-liner** — the situation in one sentence; (2) **Hypothesis** — the specific bet we're making; (3) **Thesis** — the narrative with enough background for a non-specialist to follow; (4) **Expected outcome** — what happens if we're right; (5) **Price targets** — explicit \$ moves and % up/down from today's price; (6) **Time sensitivity** — how urgent, with a concrete window; (7) **Kill watch** — what would invalidate the thesis. Full dossiers are in **detail_book.pdf**. Sorted by urgency and proximity to catalyst.

#	Ticker	Next catalyst	T-days	Urgency	One-line situation
1	TVTX	2026-04-13	T-4	MEDIUM	FDA decision due April 13 (already passed) on expanded approval of FILSPARI for a rare kidney disease — either first-to-market or a delay.
2	RPAY	2026-04-14	T-3	VERY HIGH	Activist fund Forager just crossed 12.9% of Repay right as the board adopted a poison pill with a 12.5% trigger — confrontation imminent.
3	AXSM	2026-04-30	T+13	HIGH	FDA decision April 30 for the first-ever drug approved specifically for agitation in Alzheimer's — a \$5B+ market with no current labeled option.
4	RGR	2026-05-27	T+40	HIGH	Italian firearms giant Beretta has filed a proxy fight against Sturm Ruger's board — confrontation over a sleepy American icon.
5	VERA	2026-07-07	T+81	HIGH	Small-cap biotech with the BEST Phase 3 data in IgA Nephropathy, heading into FDA decision July 7. Priced as if it has already lost.
6	VRDN	—	—	HIGH	Cheap lottery ticket on FDA approval: Viridian has crashed 51% on issues that DON'T affect the drug being reviewed on June 30.
7	AVNS	—	—	LOW	Clean merger arbitrage: Avanos going private at \$25 cash vs. stock at \$24.66 — a 1.4% spread capturable by late-2026.
8	GSAT	—	—	LOW	Amazon acquiring Globalstar — mixed cash + stock deal with a 2-3% spread and embedded AMZN call option.
9	SEM	—	—	LOW	Take-private of Select Medical at ~\$16 cash, deal spread ~3% — classic hospital-sector LBO with manageable regulatory risk.

— Full case per candidate on following pages —

#1 TVTX · TVTX — FILSPARI sNDA PDUFA for FSGS (April 13, 2026)

Stage: **DELIVERED** | Strategy: FDA PDUFA | Score: 30.5 | Next catalyst: 2026-04-13 (T-4) | Urgency: **MEDIUM**

FDA decision due April 13 (already passed) on expanded approval of FILSPARI for a rare kidney disease — either first-to-market or a delay.

HYPOTHESIS *(the specific bet)*

The FDA grants traditional approval of FILSPARI (sparsentan) for focal segmental glomerulosclerosis (FSGS) on or shortly after April 13, 2026, making TVTX the only company with an approved drug for this disease.

THESIS *(why we believe it, in plain English)*

FSGS is a rare kidney disease that scars the kidney's filter and causes kidney failure — there is currently NO approved treatment. FILSPARI is already approved in IgA Nephropathy (a related kidney disease) and has shown benefit in FSGS in Phase 3 trials. The FDA accepted the supplemental application (sNDA) under Priority Review. Note: the PDUFA date has already passed (April 13) — TVTX is now in a waiting/delay state. The market often over-discounts drugs stuck in post-PDUFA limbo; if the delay is short (amendment-style), the stock re-rates when approval lands. If the delay becomes a Complete Response Letter (CRL), the stock drops hard.

EXPECTED OUTCOME *(what happens if we're right)*

If approval lands within 2-4 weeks of PDUFA (minor delay): stock bumps +20-35% as the first and only FSGS drug. If CRL: stock drops 40-60%. Base case (a 3-month major amendment pushing PDUFA to July): stock drifts sideways.

PRICE TARGETS

Reference	\$39.54 (2026-04-17)
Upside (base)	\$48-53 (+21% to +34%) — approval within weeks
Upside (best)	\$60-70 (+52% to +77%) — approval + strong launch signals
Downside	\$18-25 (-37% to -54%) — Complete Response Letter

TIME SENSITIVITY **[MEDIUM]**

MEDIUM — PDUFA April 13 already passed without approval (warning sign). Most info emerges next 30-60 days. Entry window narrower than pre-PDUFA.

KILL WATCH *(what would invalidate the thesis)*

FDA issues CRL. FDA 3-month major amendment extension (trim). Chinook/Novartis positive Phase 3 in FSGS.

#2 RPAY · RPAY — Forager Fund vs Repay Holdings Poison Pill

Stage: **ACTIVE** | Strategy: EDGAR (governance keyword: "rights plan" + "poison pill") + | Score: 30.0 | Next catalyst: 2026-04-14 (T-3) | Urgency: **VERY HIGH**

Activist fund Forager just crossed 12.9% of Repay right as the board adopted a poison pill with a 12.5% trigger — confrontation imminent.

HYPOTHESIS (the specific bet)

Forager Fund's next 13D/A or public campaign (within 2-4 weeks) forces RPAY to negotiate (board seats, strategic review, sale) or fight a proxy contest — either drives the stock meaningfully higher from \$3.18.

THESIS (why we believe it, in plain English)

Activist investing = a fund buys a large stake and pressures management for changes (board seats, sale, spinoffs). Poison pill = a defense: if any investor exceeds a threshold (12.5%), others get cheap shares that dilute the activist. RPAY adopted this pill on 2026-04-13 with an unusually tight 12.5% trigger. The same day, Forager Fund (Forager Capital Management, Birmingham AL; MacArthur/Kissel) filed a 13D/A disclosing 12.9% — ABOVE the trigger. Federal rules: Forager has 10 business days after material position changes to file. Next move (expected end-April / early-May 2026) will announce intent: board nominees, tender offer, or settlement demand. RPAY is a small-cap payments processor near multi-year lows — classic activist target. Pedro missed this name earlier because time sensitivity was unclear; entry window is hours-to-weeks, not months.

EXPECTED OUTCOME (what happens if we're right)

Most likely (60%): negotiated settlement — Forager gets 1-2 board seats / strategic review, stock +30-80% to \$4.00-5.50. Less likely (20%): Forager forces sale at \$5-7 (+55% to +120%). Fight scenario (15%): proxy drags, but announcement alone adds +15-25%. Bad case (5%): activist retreats, stock back to \$2.80.

PRICE TARGETS

Reference	\$3.18 (2026-04-17 intraday)
Upside (base)	\$4.00-5.50 (+26% to +73%) — negotiated settlement with board seats
Upside (best)	\$5.00-7.00 (+57% to +120%) — sale process initiated
Downside	\$2.70-2.90 (-9% to -15%) — activist retreats quietly

TIME SENSITIVITY [VERY HIGH]

VERY HIGH — Forager's next 13D/A could file any business day from now through early May 2026 (10-business-day rule). Tight 12.5% poison pill trigger invites litigation. Entry window NOW through next 2-4 weeks — once campaign goes public the first 15-25% is already priced. THIS IS THE KIND OF SITUATION PEDRO ASKED NOT TO MISS AGAIN.

KILL WATCH (what would invalidate the thesis)

Forager 13D/A reducing stake below 12.5% (kills thesis). RPAY board announces strategic review BEFORE Forager's next move (cheap — most upside priced in). SEC investigates Forager disclosure timing. RPAY earnings miss collapses the business-quality premise.

#3 AXSM · AXSM — AXS-05 Alzheimer Disease Agitation PDUFA (April 30, 2026)

Stage: ACTIVE | Strategy: binary_catalyst | Score: 30.8 | Next catalyst: 2026-04-30 (T+13) | Urgency: HIGH

FDA decision April 30 for the first-ever drug approved specifically for agitation in Alzheimer's — a \$5B+ market with no current labeled option.

HYPOTHESIS (the specific bet)

The FDA approves AXS-05 (dextromethorphan/bupropion) for Alzheimer's Disease Agitation on April 30, 2026, and AXSM re-rates as the market recognizes a new multi-billion dollar franchise into an unmet need.

THESIS (why we believe it, in plain English)

Alzheimer's Disease Agitation (ADA) is one of the most distressing symptoms of Alzheimer's — aggression, restlessness, shouting — and currently NO FDA-approved drug exists for it (physicians use antipsychotics off-label, which carry black-box warnings in the elderly). AXS-05 is already approved for major depression (as Auvelity) and now seeks the ADA indication. Phase 3 ACCORD met its primary endpoint; the label, if granted, unlocks access to 30%+ of Alzheimer's patients. AXSM is a mid-cap specialty pharma with commercial infrastructure in place from Auvelity. Even modest ADA penetration translates to \$1-2B in annual sales within 3-4 years. The market has partially priced approval but is leaving most launch value on the table because biotech investors discount pre-launch catalysts until proof-of-commercial-traction arrives.

EXPECTED OUTCOME (what happens if we're right)

Approval + clean label (no black-box, broad population): +15-30% on the day, sustained re-rating. Approval narrow label: +5-10%. CRL: -20 to -35%.

PRICE TARGETS

Reference	\$184.19 (2026-04-17 intraday)
Upside (base)	\$215-235 (+17% to +28%) — clean approval, standard label
Upside (best)	\$260-300 (+41% to +63%) — broad label + analyst model upgrades post-launch
Downside	\$130-145 (-21% to -29%) — Complete Response Letter

TIME SENSITIVITY [HIGH]

HIGH — PDUFA April 30 (13 days). Position should already be built or completed in next 3-5 trading days. After day 10 before PDUFA, IV premium prohibitive for new entries.

KILL WATCH (what would invalidate the thesis)

FDA Major Amendment delay (PDUFA pushed 3 months). Negative AdCom surprise (note: no AdCom currently scheduled, mildly positive). New safety signal in post-market Auvelity.

#4 RGR · RGR — Beretta Holding Proxy Fight

Stage: **ACTIVE** | Strategy: Activist proxy contest (EDGAR) | Score: — | Next catalyst: 2026-05-27 (T+40) | Urgency: **HIGH**

Italian firearms giant Beretta has filed a proxy fight against Sturm Ruger's board — confrontation over a sleepy American icon.

HYPOTHESIS *(the specific bet)*

Beretta Holding's proxy contest at Sturm Ruger (RGR) resolves in a negotiated settlement or a successful slate within the May-June 2026 AM window, driving the stock +10-30% from \$41.98.

THESIS *(why we believe it, in plain English)*

A proxy fight = a shareholder nominates their own board candidates seeking to replace incumbents. Beretta Holding — the family-controlled Italian conglomerate that owns Beretta firearms, Benelli, and Sako — accumulated a ~10% stake in Sturm Ruger (RGR) and filed proxy materials to nominate their own slate. Ruger is the iconic American firearms maker. The filing signals either (a) Beretta wants consolidation in the global firearms industry, (b) Beretta sees RGR as strategically undervalued and wants operational changes, or (c) Beretta is positioning for a larger stake or acquisition. Any of these resolutions tends to be stock-positive: Beretta wins and pushes changes; RGR settles with board seats; or a strategic transaction is announced.

EXPECTED OUTCOME *(what happens if we're right)*

Most likely: Beretta + Ruger negotiate a settlement before the AM — Beretta gets 2-3 seats and governance concessions, stock +10-20%. Less likely but higher value: strategic transaction announced (+25-40%). Downside bounded: even if Beretta loses the vote, the 10% stake is a floor.

PRICE TARGETS

Reference	\$41.98 (2026-04-17 intraday)
Upside (base)	\$46-50 (+10% to +20%) — negotiated settlement with board seats
Upside (best)	\$52-58 (+25% to +40%) — strategic transaction / consolidation
Downside	\$38-40 (-5% to -9%) — Beretta loses vote but stays as holder

TIME SENSITIVITY **[HIGH]**

MEDIUM-HIGH — AM date not yet fixed (placeholder in filings). Historically late April to early May; contest filing pattern suggests late May or June 2026. Ruger's DEF 14A (company's definitive proxy) will set the date — expected within 2-4 weeks. Enter now while volume is still low; window narrows once the date is announced.

KILL WATCH *(what would invalidate the thesis)*

Beretta withdraws proxy materials without a settlement. ISS + Glass Lewis both recommend AGAINST Beretta's slate. Ruger adopts poison pill with exclusionary trigger. Firearms-sector liability verdict shocks RGR fundamentals.

#5 VERA · VERA — Vera Therapeutics — Atacicept IgAN BLA — PDUFA July 7, 2026

Stage: **ACTIVE** | Strategy: FDA PDUFA Calendar | Score: 30.5 | Next catalyst: 2026-07-07 (T+81) | Urgency: **HIGH**

Small-cap biotech with the BEST Phase 3 data in IgA Nephropathy, heading into FDA decision July 7. Priced as if it has already lost.

HYPOTHESIS *(the specific bet)*

The FDA approves atacicept for IgA Nephropathy on July 7, 2026, and the stock re-rates 40-60% as the market recognizes atacicept is not a me-too entry — it has the strongest efficacy in class.

THESIS *(why we believe it, in plain English)*

IgA Nephropathy (IgAN) is an autoimmune kidney disease where mis-folded antibodies clog the kidney filter. The market already has approved drugs (Travere's FILSPARI, Calliditas's TARPEYO), but atacicept targets the upstream B-cell driver via BAFF/APRIL inhibition. Phase 3 (ORIGIN-3) showed a 46% proteinuria reduction at 36 weeks — the best in class. Priority Review granted, NO AdCom required — both positive. WHY the stock is beaten down: small-cap biotechs with a single product and pending PDUFA routinely suffer 'approval anxiety' dislocations — investors rotate out into the event and back in on approval. The current price implies high-30s-percent probability of approval; the actual probability based on the data package is 75-85%.

EXPECTED OUTCOME *(what happens if we're right)*

Approval + clean label: +50-80% over the following month as analysts update models (atacicept would leapfrog the class). Approval narrow label (stage-limited): +25-40%. CRL: -50 to -65%.

PRICE TARGETS

Reference	\$42.24 (2026-04-17 intraday)
Upside (base)	\$58-68 (+37% to +61%) — approval with competitive label
Upside (best)	\$75-90 (+78% to +113%) — approval with broadest label + acquisition interest
Downside	\$18-22 (-48% to -57%) — Complete Response Letter

TIME SENSITIVITY **[HIGH]**

HIGH — PDUFA July 7, 2026 (81 days). Enter now or over next 2-3 weeks — after mid-May the event-week premium compresses entry economics. No AdCom scheduled (positive); watch for last-minute AdCom announcement.

KILL WATCH *(what would invalidate the thesis)*

FDA announces AdCom (implies regulatory uncertainty). Major Amendment extension pushes PDUFA to October. Novartis iptacopan or Chinook atrasentan report unexpectedly strong Phase 3.

#6 VRDN · VRDN — Veligrotug PDUFA (Thyroid Eye Disease)

Stage: ACTIVE | Strategy: FDA PDUFA | Score: 31.5 | Next catalyst: — | Urgency: HIGH

Cheap lottery ticket on FDA approval: Viridian has crashed 51% on issues that DON'T affect the drug being reviewed on June 30.

HYPOTHESIS (the specific bet)

The FDA approves veligrotug for Thyroid Eye Disease on June 30, 2026, and the stock re-rates from \$14.66 toward \$20-30 (+36% to +105%) as the dislocation-driven selloff reverses.

THESIS (why we believe it, in plain English)

Thyroid Eye Disease (TED) is a disfiguring autoimmune condition where eye muscles swell and bulge. Only one drug is approved (Horizon/Amgen Tepezza, 8 infusions). Viridian's veligrotug has THREE advantages: (a) only 5 infusions vs. 8 — fewer visits, better compliance; (b) two positive Phase 3 trials covering BOTH active AND chronic TED (Tepezza is used mostly in active); (c) better hearing-loss safety (5.5% placebo-adjusted vs. ~10% — hearing loss is the most feared side effect). The BLA has Priority Review AND Breakthrough Therapy. WHY the crash from \$34 to \$14.66: (1) Viridian's DIFFERENT drug — elegrobarb — reported Phase 3 data March 30 that disappointed investors, 27% one-day drop; (2) Amgen's positive Phase 3 for subcutaneous Tepezza in early April raised competitive fears. CRITICAL: neither affects veligrotug's approval probability. Stock now below even the most bearish analyst target (\$20).

EXPECTED OUTCOME (what happens if we're right)

Approval June 30 (high probability given data package): stock rebounds toward low-end sellside targets. Best case (broad label covering active + chronic, clean safety): mid-\$20s. Ceiling \$30-34 only if elegrobarb REVEAL-2 also positive. Worst case (CRL): \$5-8.

PRICE TARGETS

Reference	\$14.66 (2026-04-17 intraday)
Upside (base)	\$20-22 (+36% to +50%) — approval with standard label
Upside (best)	\$28-30 (+91% to +105%) — approval + elegrobarb REVEAL-2 positive
Downside	\$5-8 (-45% to -66%) — CRL scenario

TIME SENSITIVITY [HIGH]

HIGH — PDUFA June 30, 2026 (74 days). Enter now — 10+ weeks of runway allows accumulation without paying event-week premium. Elegrobarb REVEAL-2 readout in Q2 provides secondary catalyst.

KILL WATCH (what would invalidate the thesis)

FDA information request signaling 'Major Amendment' (pushes PDUFA 3 months). Hearing-loss safety signal in post-market Tepezza updates. Elegrobarb REVEAL-2 misses badly + management signals dilution.

#7 AVNS · AVNS — Merger Arbitrage (American Industrial Partners buyout @ \$25.00 cash)

Stage: **ACTIVE** | Strategy: EDGAR Keyword Scanning (category: mna) | Score: 28.5 | Next catalyst: — | Urgency: **LOW**

Clean merger arbitrage: Avanos going private at \$25 cash vs. stock at \$24.66 — a 1.4% spread capturable by late-2026.

HYPOTHESIS (the specific bet)

The American Industrial Partners (AIP) all-cash acquisition of AVNS closes on schedule in Q3/Q4 2026, delivering \$25.00 per share (vs. current \$24.66) — annualized 3-5% spread return with low deal-break risk.

THESIS (why we believe it, in plain English)

Merger arbitrage = you buy the stock of a company that has agreed to be acquired and capture the remaining spread between market price and deal price. The spread compensates for (a) deal-break risk, (b) time value of money, (c) antitrust or financing risk. AVNS announced on 2026-04-14 a definitive agreement to be acquired by American Industrial Partners (AIP), a large PE firm, at \$25.00 cash per share. Medical devices is a consolidating, well-understood PE sector; AIP has financing committed; no obvious antitrust concerns (AVNS is a niche mid-cap in respiratory + wound-care). The 1.4% gross spread is modest but the deal-break probability is low (<8%).

EXPECTED OUTCOME (what happens if we're right)

Deal closes Q3/Q4 2026 at \$25.00 — gross return 1.4%, annualized 3-6% depending on close date. Low vol, stable spread.

PRICE TARGETS

Reference	\$24.66 (2026-04-17 intraday)
Upside (base)	\$25.00 (+1.4%) — deal closes as announced
Upside (best)	\$26.50-27.00 (+7% to +9%) — competing bidder emerges
Downside	\$18-20 (-19% to -27%) — deal breaks (~5-8% probability)

TIME SENSITIVITY [LOW]

LOW — Definitive agreement signed; expected close Q3/Q4 2026 (6-9 months). Hold-to-close trade, not timing trade. Good for capital preservation / cash-plus return; NOT where outsized gains live.

KILL WATCH (what would invalidate the thesis)

Any material adverse change (MAC) disclosed in proxy. HSR antitrust second request (delays 3-6 months). AIP financing backup failure. A superior strategic proposal — upside, not kill.

#8 GSAT · GSAT — Merger Arbitrage (Amazon acquisition @ \$90 cash / 0.321 AMZN share)

Stage: ACTIVE | Strategy: EDGAR Keyword Scanning (category: mna) | Score: 25.5 | Next catalyst: — | Urgency: LOW

Amazon acquiring Globalstar — mixed cash + stock deal with a 2-3% spread and embedded AMZN call option.

HYPOTHESIS (the specific bet)

Amazon's acquisition of Globalstar at \$90 cash + 0.3x AMZN share per GSAT share closes by late 2026 / early 2027 with minimal regulatory friction.

THESIS (why we believe it, in plain English)

Globalstar operates a satellite communications network — the company behind Apple's iPhone emergency satellite connectivity. Amazon announced on 2026-04-14 a definitive agreement to acquire GSAT with mixed consideration: \$90 cash plus 0.3 AMZN per GSAT share. At \$80.03 current, the paper spread depends on AMZN (fluctuates). Amazon is building out Project Kuiper; Globalstar's spectrum is a strategic fit. Antitrust review is the main risk — not market concentration (telecom regulatory terrain is messy) but Amazon being under increased government scrutiny. Structural caveat: because part of the consideration is AMZN stock, you are buying both the arb AND implicit long AMZN — hedge accordingly.

EXPECTED OUTCOME (what happens if we're right)

Deal closes Q4 2026 - Q1 2027: base-case return 2-4% gross. Material AMZN rally would boost total economics; AMZN selloff reduces them.

PRICE TARGETS

Reference	\$80.03 (2026-04-17 intraday)
Upside (base)	\$82-84 (+2% to +5%) — deal closes, AMZN flat
Upside (best)	\$88-92 (+10% to +15%) — deal closes AND AMZN rallies 15%+
Downside	\$55-65 (-19% to -31%) — deal breaks on antitrust

TIME SENSITIVITY [LOW]

LOW — Definitive agreement signed; expected close Q4 2026 / Q1 2027 (8-12 months). Entry window open; no urgency.

KILL WATCH (what would invalidate the thesis)

FCC or DOJ signals serious spectrum-transfer concerns. Amazon becomes target of a breakup / antitrust freeze. AMZN sells off sharply — stock-consideration hurts arb economics.

#9 SEM · SEM — Select Medical Holdings WCAS+Ortenzio Take-Private (\$16.50 cash)

Stage: **ACTIVE** | Strategy: EDGAR keyword scanning (mna category — via S64 strength-5 ro | Score: 22.5 | Next catalyst: — | Urgency: **LOW**

Take-private of Select Medical at ~\$16 cash, deal spread ~3% — classic hospital-sector LBO with manageable regulatory risk.

HYPOTHESIS (the specific bet)

WCAS + Ortenzio family take-private of SEM at ~\$16.50 cash per share closes by Q4 2026, delivering a ~3% spread with low break probability given insider-involvement structure.

THESIS (why we believe it, in plain English)

Take-private = a public company is acquired by private investors and delisted. WCAS (Welsh Carson Anderson & Stowe) is a large PE firm specializing in healthcare; the Ortenzio family founded Select Medical and already own a large stake. When founder families partner with PE to take a company private, the deal-break probability is very low (family is committed, PE has long-term capital). Select Medical operates specialty hospitals and rehab facilities — a well-understood, cash-flowing business. The ~3% spread reflects high probability of close. Main regulatory risk: state-level hospital ownership transfer approvals (minor friction).

EXPECTED OUTCOME (what happens if we're right)

Deal closes Q4 2026 at ~\$16.50: gross return ~3%, annualized 5-7% depending on close date. Low vol, stable spread, capital-preservation sleeve.

PRICE TARGETS

Reference	\$16.39 (2026-04-17 intraday)
Upside (base)	\$16.50 (+0.7%) — deal closes at announced price
Upside (best)	\$17.50-18.00 (+7% to +10%) — superior proposal from strategic / larger PE
Downside	\$11-13 (-21% to -33%) — deal breaks

TIME SENSITIVITY [LOW]

LOW — Definitive agreement signed; expected close Q4 2026 (6-8 months). Hold-to-close trade.

KILL WATCH (what would invalidate the thesis)

State hospital regulators block transfer in any material state. WCAS financing falls through. Material operational miss at SEM before close triggers MAC clause.

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